

Farm Fresh Berhad (5306.KL) – IC Screening Memo – 11 Aug 2026

Sector: Consumer Products & Services – F&B Dairy Products | Recommendation: FAIL

Deal Snapshot

Business: Largest fully integrated dairy company in Malaysia, with 7 farms and 5 processing facilities across 5,367 acres of land. Boasts an extensive line of 216 SKUs across 10 distinct brands (e.g.: Inside Scoop and Jom Cha) – including fresh/UHT milk, ice cream, yogurt, powder dairy products. Founded in 2009 by Loi Tuan Ee, IPO'd March 22, 2022, at RM1.35/share – currently ~RM2.2/share. Previously backed by Khazanah, who divested shares in September 2025.

Current Market Cap: RM4.184 billion

Estimated Shares Outstanding: ~1.9 billion shares

Market Implied Enterprise Value: RM4.552 billion

Implied Entry Multiple (EV/EBITDA): 23.9x

Trailing P/E: 39.0x

3-Year Revenue CAGR: 24.9%

Investment Thesis

- 1. Long-Term Growth:** Dairy market size is forecasted to grow at 7.4% CAGR from 2026-2033. FF is outpacing market growth with expected 24.9% revenue CAGR and consistent gross margins improvements (23.8% -> 32.1%) between FY2023A-FY2025A, showcasing growing revenue with stricter cost controls.
- 2. Government Incentives:** Malaysia remains heavily dependent on imported food, including milk. FF is spearheading Malaysia's self-sufficiency in milk production with the aid of government efforts to boost cattle breeding and ruminant development programmes.
- 3. International Expansion:** Beyond Malaysia and Australia, FF has commissioned a new manufacturing facility in San Simon, Philippines in FY2025 and a new dairy farm in Pursat, Cambodia in FY2026, signifying penetration into new markets.
- 4. Unproven Expansion:** From FY2022A statements till date, the Australian segment is loss-making at PBT level (-RM9,791 million in FY2025A). Aggressive international expansion has also been forecasted to cause negative Free Cash Flow in 3 of the next 5 years, which may present liquidity risks.
- 5. Customer Power:** There has been growing reliance on 1 major customer in the Malaysia segment, growing from 5.46% of revenue to 10.09% between FY2024A and FY2025A, which is addressable but unresolved.

Return Analysis

Exit Multiple	Exit Equity Value	MOIC	IRR (5y)
Held Flat – 23.9x	9,520,012	2.3x	17.9%
Nestle – 22.3x	8,825,607	2.1x	16.1%
F&N – 12.1x	4,488,771	1.1x	1.4%
DCF-Implied – 22.6x	8,982,000	2.1x	16.5%

Risks

- 1. Multiple Compression:** The company is still in growth phase and has yet to reach steady-state, implying that a 23.9x exit multiple is unlikely to sustain in the long-term once growth decelerates towards maturity, compressing returns.
- 2. Margin Durability:** The improvement in gross margin (23.8%→32.1%) is unproven to be structural or temporary. Our model's forward assumption (3-year average at 27.5%) already assumes a conservative partial reversion. A full reversion of gross margin would compress EBITDA significantly.
- 3. Customer Concentration:** An overdependence on a singular consumer, amounting to 10% of the business' main segment's revenue, is prone to trade falloffs causing significant drop in revenue.

Recommendation

Farm Fresh is a market leader in the growing dairy industry, with aggressive international expansions and great opportunities to secure government contracts. However, given our return analysis, at the F&N-anchored floor (12.09x), returns are unattractive at 1.4% IRR. Even at the Nestle-anchored ceiling (22.3x), which is close to what we forecasted through our DCF (22.6x, IRR 16.5%), return (IRR 16.1%) remains below the 20% net IRR growth equity investors typically target (Carta, 2025), with the gap being even wider considering that our computed figures are in gross terms. These unattractive returns are partially driven by the unaddressed Australia segment of the business, where it consistently generates a loss in PBT every year. Combined with a 10% revenue dependence on a singular customer, it categorizes Farm Fresh as a riskier investment.

Recommendation: FAIL